## 11. Income Taxes

The provision for income taxes is comprised of the following (in thousands):

| | 2005 | 2004 | 2003 |
|---|---|---|---|
| Federal: | | | |
| Current | $ 29,197 | $ 29,021 | $ 17,036 |
| Deferred | 7,539 | 6,416 | 7,528 |
| | 36,736 | 35,437 | 24,564 |
| State: | | | |
| Current | 5,941 | 6,739 | 4,485 |
| Deferred | 1,436 | 875 | 1,328 |
| | 7,377 | 7,614 | 5,813 |
| | $ 44,113 | $ 43,051 | $ 30,377 |

The net deferred income tax assets (liabilities) at December 31, 2005 and 2004 is comprised of (in thousands):

| | 2005 | 2004 |
|---|---|---|
| Current deferred income tax assets: | | |
| Accounts receivable | $ 3,045 | $ 3,012 |
| State taxes | 1,709 | 1,442 |
| Other liabilities and reserves | 5,211 | 4,956 |
| Start-up costs | 65 | 66 |
| Other assets | 120 | 478 |
| Inventory | 822 | 1,518 |
| Total current deferred income tax assets, net | $ 10,972 | $ 11,472 |
| Non-current deferred income tax (liabilities) assets: | | |
| Net operating loss carryforwards | $ 12,910 | $ 2,217 |
| Write-down of assets | 1,226 | 1,256 |
| Start-up costs | 336 | 344 |
| Other assets | 6,293 | 4,616 |
| Intangible assets | (43,451) | (35,802) |
| Property and equipment | (1,105) | (1,921) |
| Unrealized loss on investments | 1,967 | 2,043 |
| Valuation allowance | (8,979) | (4,267) |
| Total non-current deferred income tax liabilities, net | $ (30,803) | $ (31,514) |

Under the Tax Reform Act of 1986, the utilization of Federal net operating loss, or NOL, carryforwards to reduce taxable income will be restricted under certain circumstances. Events that cause such a limitation include, but are not limited to, a cumulative ownership change of more than 50% over a three-year period. We believe that some of our acquisitions caused such a change of ownership and, accordingly, utilization of the NOL carryforwards may be limited in future years. Accordingly, the valuation allowance is principally related to subsidiaries' NOL carryforwards as well as certain investment related expenditures where the realization of this benefit is uncertain at this time.

At December 31, 2005, we had Federal NOL carryforwards of approximately $35.3 million, comprised mainly of NOL carryforwards acquired in the past. We expect to utilize substantially all of these loss carryforwards. These NOLs expire at various dates through 2025.





A reconciliation of the provision for income taxes to the amount computed at the Federal statutory rate is as follows:

| | 2005 | 2004 | 2003 |
|---|---|---|---|
| Federal income tax at statutory rate | 35.0% | 35.0% | 35.0% |
| Effect of amortization of intangibles | — | 0.1 | 0.3 |
| State taxes, net of Federal benefit | 4.3 | 5.2 | 5.7 |
| Effect of change in state tax rate and other | (0.1) | 0.2 | — |
| Additional federal taxes | — | — | 1.6 |
| Litigation charges | — | (0.4) | — |
| Valuation allowance | — | — | (1.6) |
| Miscellaneous | 0.2 | 0.3 | 0.2 |
| | 39.4% | 40.4% | 41.2% |